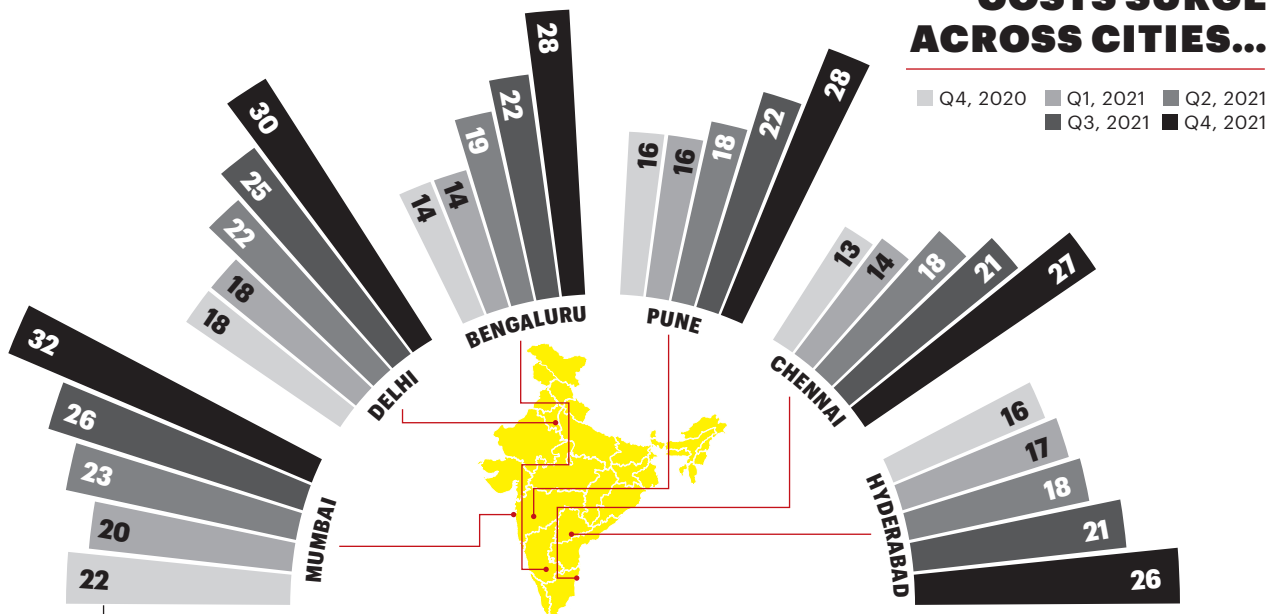




CONSTRUCTION COSTS SURGE ACROSS CITIES...



...INCLUDING BOTH RESIDENTIAL AND COMMERCIAL SPACES

Construction costs (in ₹ per sq. ft)

■ March 2021 ■ March 2022



Rise in construction costs in comparison to Q4, 2019, in per cent

Source JLL, Colliers & industry

60 |

GRAPHICS BY TANMOY CHAKRABORTY

Kapoor is not alone, though. From Mumbai's Hiranandani Group and Bengaluru's RMZ Corp to Delhi-based Signature Global and Raheja Developers, the heat of inflation is being felt by all the leading developers of the country.

According to Niranjan Hiranandani, Co-founder and Managing Director of Hiranandani Group and Vice Chairman of the self-regulatory industry body, National Real Estate Development Council (NAREDCO), the surge in prices of construction commodities has resulted in an overall increase in the cost of construction by 15 per cent for real estate developers. "The impact of -this ongoing inflation is now out in the open. Apart from construction materials, the steep rise in fuel prices is a matter of grave concern for everybody," he says.

ACCORDING TO ADITYA DESAI, Executive Director at JLL India, the soup that most realtors find themselves in today is a result of prolonged disruptions. "There have been three sets of price inflation that have taken place since March, 2020. While the first two were related to the two Covid-19 waves in 2020 and 2021, the third one—which is pinching more—is due to the war. Since the March 2020 quarter, the price of steel has gone up by 55-



We normally factor in a 4-5 per cent rise in the cost of any commercial project as a contingency. Post Covid-19, we had to renegotiate and rewrite our budget and reset our numbers

K. JAYAKUMAR
SENIOR MD, RMZ CORP

